CHAPTER G-01
GENERAL INSURANCE DOCUMENTATION

Chapter Introduction

As discussed in Chapter 7, the Proposal form contains information which are useful for the insurance company to accept the risk offered for insurance.

We have seen that in different branches of insurance, the documentation needs are different based on the subject matter insured, type of insurance coverage and the types of claims that can arise.

Learning Outcomes

A. Proposal forms
B. Acceptance of a proposal (underwriting)
C. Premium Receipt
D. Cover Notes/ Certificate of Insurance/ Policy Document
E. Warranties
F. Endorsements
G. Interpretation of Policies
H. Renewal Notice

After studying this chapter, you should be able to:

a) Explain the contents of a Proposal form.
b) Describe the importance of Prospectus
c) Understand the premium receipt.
d) Explain terms and wordings in insurance policy document.
e) Discuss policy conditions and warranties.
f) Appreciate why endorsements are issued.
g) Appreciate why renewal notices are issued.

A. Proposal forms

The Proposal form contains information which are useful for the insurance company to accept the risk offered for insurance. The principle of utmost good faith and the duty of disclosure of material information begin with the proposal form for insurance.

Example

If the insured was required to maintain an alarm or had stated that he has an automatic alarm system in his gold jewellery showroom, then not only is he required to disclose it, he has to ensure the same remains in a working condition throughout the policy period. The existence of the alarm is a material fact for the insurer who will be accepting the proposal based on these facts and pricing the risk accordingly.

1. Nature of questions in a proposal form

The number and nature of questions in a proposal form vary according to the class of insurance concerned.

i. **Fire insurance** proposal forms are usually used for relatively simple/ standard risks like houses, shops etc. For large industrial risks, inspection of the risk is arranged by insurer before acceptance of the risk. Special questionnaire are sometimes used in addition to the proposal form to gather specific information.

   Fire insurance proposal form seeks, among other things, the description of the property which would include the following information:

   - ✓ Construction of external walls and roof, number of story
   - ✓ Occupation of each portion of the building
   - ✓ Presence of hazardous goods
   - ✓ Process of manufacture including raw material and finished goods
   - ✓ The sums proposed for insurance
   - ✓ The period of insurance, etc.

ii. **For motor insurance,** questions are asked about the vehicle, its operations, make and carrying capacity, how it is managed by the owner and related insurance history.

iii. **In personal lines** like health, personal accident and travel insurance, proposal forms are designed to get information about the proposer's health, way of life and habits, pre-existing health conditions, medical history, hereditary traits, past insurance experience etc.

iv. **In other miscellaneous insurances,** proposal forms are compulsory and they incorporate a declaration which extends the common law duty of good faith.

2. Elements of a proposal

i. Proposer's name in full

The proposer should be able to identify himself/ herself unambiguously. It is important for the insurer to know with whom the contract has been entered, so that the benefits under the policy would be received only by the insured.

ii. Proposer's address and contact details

The reasons stated above are applicable for collecting the proposer's address and contact details as well.

iii. Proposer's profession, occupation or business

In some cases like health and personal accident insurance, the proposer's profession, occupation or business are of importance as they could have a material bearing on the risk.

iv. Details and identity of the subject matter of insurance

The proposer is required to clearly state the subject matter that is proposed for insurance.

Example

The proposer is required to state if it is:

- **i.** A private car [with its identification like engine number, chassis number, registration number] or
- **ii.** A residential house [with its full address and identification numbers] or
- **iii.** An overseas travel [by whom, when, to which country, for what purpose] or
- **iv.** A person's health [with person's name, address and identification] etc. depending on the case
- **v.** **Sum insured** indicates limit of liability of the insurer under the policy and has to be indicated in all proposal forms.
- **vi.** **Previous and present insurance**: As seen in the common chapters, the proposer is required to inform the details about his previous insurances to the insurer.

  In property insurance, there is a chance that insured may take policies from different insurers and when a loss happens, claim from more than one insurer. This information is required to ensure that the principle of contribution is applied so that the insured is indemnified and does not gain/ profit due to multiple insurance policies for the same risk.

  Further, in personal accident insurance an insurer would like to restrict the amount of coverage (sum insured) depending on the sum insured under other PA policies taken by the same insured.

vii. Loss experience

The proposer is asked to declare full details of all losses suffered by him/ her, whether or not they were insured. This will give the insurer information about the subject matter of insurance and how the insured has managed the risk in the past. Underwriters can understand the risk better from such answers and decide on conducting risk inspections or collecting further details.

viii. Declaration by insured

As the purpose of the proposal form is to provide all material information to the insurers, the form **includes a declaration by the insured that the answers are true and accurate and he agrees that the form shall be the basis of the insurance contract.** Any wrong answer will give the right to insurers to avoid the contract. Other sections common to all proposal forms relate to **signature, date and in some cases agent's recommendation.**

B. Acceptance of the Proposal (underwriting)

As seen earlier, a completed proposal form broadly gives the following information:

- ✓ Details of the insured
- ✓ Details of the subject matter
- ✓ Type of cover required
- ✓ Details of the physical features both positive and negative - including type and quality of construction, age, presence of fire-fighting equipment, the type of security etc.,
- ✓ Previous history of insurance and loss

In the case of property, motor or cargo insurance, the insurer may also arrange for pre-inspection survey of the risk before acceptance, depending on the nature and value of the risk. Insurers take their decision based on the information available in the proposal, the risk inspection report, answers to the additional questionnaire and other documents (as may be called for by the insurer). The insurer then decides about the rate to be applied to the risk factor and calculates the premium based on various parameters, which is then conveyed to the insured. Proposals are processed by the insurer with speed and efficiency and all decisions thereof are communicated by it in writing within a reasonable period.

Definition

Underwriting: As per Protection of Policyholders' Interests) Regulations, 2017, the company has to process the proposal within 15 days' time. The agent is expected to keep track of these timelines, follow up internally and communicate with the prospect/ insured as and when required by way of customer service. This entire process of scrutinizing the proposal and deciding about acceptance is known as underwriting.

Test Yourself 1

As per Protection of Policyholders' Interests) Regulations, 2017, an insurance company has to process an insurance proposal within _____.

I. 7 days

II. 15 days

III. 30 days

IV. 45 days

C. Premium Receipt

Premium is the consideration or amount paid by the insured to the insurer for insuring the subject matter of insurance, under a contract of insurance. As discussed in Chapter 4, the Agent should be always mindful that the **premium is to be paid in advance, before the inception date of the insurance contract** as per Section 64 VB of the Insurance Act**.**

Important

a) Section 64 VB of the Insurance Act-1938 provides that no insurer shall assume any risk unless and until the premium is received in advance or is guaranteed to be paid or a deposit is made in advance in the prescribed manner. Insurance Rules 58 and 59 provide certain exceptions to this condition of advance payment of premium in some situations.

b) Where an insurance agent collects a premium on a policy of insurance on behalf of an insurer, he shall deposit with or dispatch by post to the insurer the premium so collected in full without deduction of his commission within twenty-four hours of the collection excluding bank and postal holidays.

c) It is also provided that the risk may be assumed only from the date on which the premium has been paid in cash or by cheque.

d) Where the premium is tendered by postal or money order or cheque sent by post, the risk may be assumed on the date on which the money order is booked or the cheque is posted as the case may be.

e) Any refund of premium which may become due to an insured on account of the cancellation of policy or alteration in its terms and conditions or otherwise, shall be paid by the insurer directly to the insured by a crossed or order cheque or by postal/ money order or by Electronic Mode and a proper receipt shall be obtained by the insurer from the insured, and such refund shall in no case be credited to the account of the agent.

D. Cover Notes/ Certificate of Insurance/ Policy Document

After underwriting is completed it may take some time before the policy is issued. **Pending the preparation of the policy or when the negotiations for insurance are in progress and it is necessary to provide cover on a provisional basis or when the premises are being inspected for determining the actual rate applicable,** a cover note is issued to confirm protection under the policy. It gives description of cover. Sometimes, insurers issue a letter confirming the provisional insurance cover instead of a cover note.

Although the cover note is not stamped, the wording of the cover note makes it clear that it is subject to the usual terms and conditions of the insurers' policy for the class of insurance concerned. If the risk is governed by any warranties, then the cover note would state that the insurance is subject to such warranties. The cover note is also made subject to special clauses, if applicable e.g. Agreed Bank Clause, Declaration Clause etc.

A cover note would incorporate the following:

a) Name and address of insured
b) Sum insured
c) Period of insurance
d) Risk covered
e) Rate and premium: if rate is not known, the provisional premium
f) **Description of the risk covered**: for example a fire cover note would indicate identification particulars of the building, its construction and occupancy.
g) Serial number of the cover note
h) Date of issue
i) **Validity of cover note** is usually for a period of a fortnight and rarely up to 60 days

Cover notes are used predominantly in marine and motor classes of business.

1. Marine Cover Notes

These are normally issued when details required for the issue of policy such as name of the steamer, number of packages, or exact value etc. are not known. Even in respect of exports, a cover note may be issued e.g. a certain quantity of cargo meant for shipment is sent by the exporter to the docks. It may happen that, owing to difficulty of securing adequate shipping space, shipment of the cargo by the intended vessel does not take place. The quantity therefore, that may be sent by a particular vessel cannot be known. In the circumstances, a cover note may be required which is to be followed subsequently by the issue of regular policy when full details are available and made known to the insurance company.

Marine cover note may be worded along the following lines:

i. Marine Cover Note Number
ii. Date of issue
iii. Name of the insured
iv. Valid up to

"As requested, you are hereby held covered subject to usual conditions of the company's policy to the extent of Rs. _____."

a) **Clauses:** Institute Cargo Clauses A, B or C including War SRCC risks as per Institute Clauses, but subject to 7 days' notice of cancellation.
b) **Conditions:** Details of shipment to be supplied on receipt of shipping documents for issue of policy. In the event of loss or damage prior to declaration and/ or shipment on board the steamer, it is hereby agreed that the basis of valuation

shall be prime cost of the goods plus charges actually incurred and for which the assured is liable.

With regard to inland transit normally all relevant data required for issue of policy are available and therefore a cover note is rarely required. There may however, be some occasions when cover notes are issued and substituted later on by policies containing full description of the cargo, transit etc.

2. Motor Cover Notes

These are to be issued in the form prescribed by the respective companies the operative clause of a motor cover note may read as follows:

"The insured described in the form, referred to below, having proposed for insurance in respect of the Motor Vehicle(s) described therein and having paid the sum of Rs….as premium the risk is hereby held covered under the terms of the company's usual form of……Policy applicable thereto (subject to any Special Conditions mentioned below) unless the cover be terminated by the Company by notice in writing in which case the insurance will thereupon cease and a proportionate part of the premium otherwise payable for such insurance will be charged for the time the company had been on risk."

The Motor Cover Note generally contains the following particulars:

a) Registration mark and number, or description of the vehicles insured/ cubic capacity/ carrying capacity/ make/ year of manufacture, engine number, chassis number
b) Name and address of the insured
c) Effective date and time of commencement of insurance for the purpose of the Act. Time……, Date……
d) Date of expiry of insurance
e) Persons or classes of persons entitled to drive
f) Limitations as to use
g) Additional risks, if any

The Motor Cover Note incorporates a certificate to the effect that it is issued in accordance with the provisions of Chapters X and XI of the Motor Vehicles Act, 1988.

Important

The validity of the Cover Note may be extended for a further period of 15 days at a time, but in, but in no case the total period of validity of a Cover Note shall exceed sixty days.

Note: The wordings of the cover note may vary from insurer to insurer

Use of cover notes is being discouraged by most companies. Present day technology facilitates issuance of policy document immediately.

3. Certificate of Insurance – Motor Insurance

A certificate of insurance provides existence of insurance in cases where proof may be required. For instance in motor insurance, in addition to the policy, a certificate of insurance is issued as required by the Motor Vehicles Act. **This certificate**

provides evidence of insurance to the Police and Registration Authorities. A specimen certificate for private cars is reproduced below, showing salient features.

MOTOR VEHICLES ACT, 1988

CERTIFICATE OF INSURANCE

Certificate No. Policy No.

1. Registration mark and Number, Place of registration, Engine No./Chassis No./ Make/ Year of manufacture.
2. Type of Body/ C.C/ Seating capacity/ Net Premium/ Name of Registration Authority,
3. Geographical area – India. `
4. Insured declared value (IDV)
5. Name and address of the Insured, Business or profession.
6. Effective date of commencement of Insurance for the purpose of the Act. From……. 'O' clock on ……
7. Date of expiry of insurance: midnight on ……
8. Persons or classes of persons entitled to drive.

Any of the following:

(a) The insured:

(b) Any other person who is driving on the insured's order or with his permission

Provided that the person driving holds an effective driving license at the time of the accident and is not disqualified from holding or obtaining such a license. Provided also that the person holding an effective learner's license may also drive the vehicle and such a person satisfies the requirement of Rule 3 of Central Motor Vehicles Rules 1989.

LIMITATIONS AS TO USE

The policy covers use for any purpose other than:

(a) Hire or reward;

(b) Carriage of goods (other than personal luggage)

(c) Organised racing,

(d) Race making,

(e) Speed testing

(f) Reliability Trials

(g) Any purpose in connection with Motor Trade.

I/ we hereby certify that the Policy to which this Certificate relates as well as this Certificate of Insurance are issued in accordance with the provisions of Chapter X and Chapter XI of the Motor Vehicles Act, 1988.

Examined.....

(Authorized Insurer)

Motor certificate of Insurance is required to be carried in the vehicle at all times for the scrutiny of the relevant authorities.

4. Policy Document

The policy is a formal document which provides an evidence of the contract of insurance. This document has to be stamped in accordance with the provisions of the

Indian Stamp Act, 1899.

A general insurance policy usually contains:

a) The name(s) and address(es) of the insured and any other person having insurable interest in the subject matter;
b) Full description of the property or interest insured;
c) The location/ s of the property or interest insured under the policy and where appropriate, with respective insured values;
d) Period of insurance;
e) Sums insured;
f) Perils covered and exclusions ;
g) Any excess/ deductible applicable;
h) Premium payable and where the premium is provisional subject to adjustment, the basis of adjustment of premium ;
i) Policy terms, conditions and warranties;
j) Action to be taken by the insured upon occurrence of a contingency likely to give rise to a claim under the policy;
k) The obligations of the insured in relation to the subject-matter of insurance upon occurrence of an event giving rise to a claim and the rights of the insurer in the circumstances;
l) Any special conditions ;
m) Provision for cancellation of the policy on grounds of misrepresentation, fraud, non-disclosure of material facts or non-cooperation of the insured;
n) The address of the insurer to which all communications in respect of the policy should be sent;
o) The details of Add–on covers and/ or Endorsements if any;
p) Details of Grievance Redressal mechanism and address of Ombudsman

Test Yourself 1

Which of the following statements is true with regards to cover notes?

I. Cover notes are predominantly used in life insurance
II. Cover notes are predominantly used in all classes of general insurance
III. Cover notes are predominantly used in health insurance
IV. Cover notes are predominantly used in marine and motor classes of general insurance

E. Warranties

A warranty is a condition expressly stated in the policy which has to be literally complied with for validity of the contract. Warranty is not a separate document. It is part of both cover notes and policy document. It is a condition precedent to the contract. It must be observed and complied with strictly and literally, irrespective of the fact whether it is material to the risk or not. If a warranty is breached, the policy becomes voidable at the option of the insurers even when it is clearly established that the breach has not caused or contributed to a particular loss. However, in practice, if the breach of warranty is of a purely technical nature and does not, in any way, contribute to or aggravate the loss, insurers at their discretion may process the claims according to norms and guidelines as per company policy.

1. **Fire Insurances warranties (some examples) are as given below**

Warranted, that no hazards goods shall be stored in the insured premises during the currency of policy.

Silent Risk: Warranted that no manufacturing activity is carried out in the insured premises for consecutive period of 30 days or more.

Cigarette Filter Manufacturing: Warranted that no solvents having flash point below 30^0C are used/ stored in the premises

2. In **Marine Insurance, a warranty** is defined as follows: "a promissory warranty, that is to say, a warranty by which the assured undertake that some particular thing shall or shall not be done, or that some condition will be fulfilled, or whereby he affirms or negates the existence of a particular state of facts"

In **Marine Cargo Insurance, a warranty** is inserted to the effect that goods (e.g. tea) are packed in tin-lined cases. In **Marine Hull insurance by inserting a warranty** that the insured vessel will not navigate in a certain area, gives an idea to the insurer about the extent of risk he has agreed to provide cover for. If the warranty is breached, the risk agreed to initially is altered and the insurer is allowed to discharge himself from further liability from the date of breach

3. In **Burglary Insurance**, it is warranted that the property is guarded by a watchman for twenty four hours. The rates, terms and conditions of the policy continue to be the same only if the warranties attached to the policy are complied with.

Test Yourself 2

Which of the following statements is correct with regards to a warranty?

I. A warranty is a condition which is never stated in the policy
II. A warranty forms part of a policy document
III. A warranty is always communicated to the insured separately and cannot be part of the policy document
IV. Claims will be payable even if a warranty is breached.

F. Endorsements

It is the practice of insurers to issue policies in a standard form; covering certain perils and excluding certain others.

Definition

If certain terms and conditions of the policy need to be modified at the time of issuance, or during the policy tenure, it is done by setting out the amendments/ changes through a document called endorsement.

It is attached to the policy and forms part of it. The policy and the endorsement together constitute the evidence of the contract. Endorsements may also be issued during the currency of the policy to record changes/ amendments.

Whenever material information changes, the insured has to advice the insurance company who will take note of this and incorporate the same as part of the insurance contract through the endorsement.

Endorsements normally required under a policy related to:

a) Variations/ changes in sum insured
b) Change of insurable interest by way of sale, mortgage, etc.
c) Extension of insurance to cover additional perils/ extension of policy period
d) Change in risk, e.g. change of construction, or occupancy of the building in fire insurance
e) Transfer of property to another location
f) Cancellation of insurance
g) Change in name or address etc.

Specimen

For the purpose of illustration, specimen wordings of some endorsements are reproduced below:

Cancellation

At the request of the insured the insurance by this Policy is hereby declared to be cancelled as from ……. The insurance having been in force for a period over ……. Months, no refund is due to the Insured.

<u>Increase in Stock Value Cover:</u>

"The Insured having advised that the stock covered by this policy has been increased it is hereby agreed that the sum insured is accordingly altered to Rs..... discussed as follows:

On (Describe) Rs.
On (Describe) Rs.

In consideration whereof an additional premium is hereby charged.
Further annual premium Rs…….

The total insurance now stands at Rs .....

Subject otherwise to the terms, provisions and conditions of this policy.

Extension of cover to include extraneous peril in a Marine Policy

At the request of the insured, it is hereby agreed to include the risks of breakage under the above policy.

In consideration, thereof an additional premium as under is charged to the insured on Rs.

Test Yourself 3

If certain terms and conditions of the policy need to be modified at the time of issuance, or during the policy tenure it is done by setting out the amendments through _____.

I. Warranty
II. Endorsement
III. Alteration
IV. Modifications are not possible

G. Interpretation of policies

Contracts of insurance are expressed in writing and the insurance policy wordings are drafted by insurers. These policies have to be interpreted according to certain well-defined rules of construction or interpretation which have been established by various courts. **The most important rule of construction is that the intention of the parties must prevail and this intention is to be looked for in the policy itself.** If the policy is issued in an ambiguous manner, it will be interpreted by the courts in favour of the insured and against the insurer on the general principle that the policy was drafted by the latter.

Policy wordings are understood and interpreted as per the following rules:

a) An express condition overrides an implied condition except where there is inconsistency in doing so.
b) In the event of a contradiction in terms between the standard printed policy form and the typed or handwritten parts, the typed or handwritten part is deemed to express the intention of the parties in the particular contract, and their meaning will overrule those of the original printed words.
c) If an endorsement contradicts other parts of the contract the meaning of the endorsement will prevail as it is the later document.
d) Clauses in italics over-ride the ordinary printed wording where they are inconsistent.

e) Clauses printed or typed in the margin of the policy are to be given more importance than the wording within the body of the policy.
f) Clauses attached or pasted to the policy override both marginal clauses and the clauses in the body of the policy.
g) Printed wording is over-ridden by typewritten wording or wording impressed by an inked rubber stamp.
h) Handwriting takes precedence over typed or impressed wording.
i) Finally, the ordinary rules of grammar and punctuation are applied if there is any ambiguity or lack of clarity.

Important

1. Construction of policies

An insurance policy is evidence of a commercial contract and the general rules of construction and interpretation adopted by courts apply to insurance contracts as in the case of other contracts.

The principal rule of construction is that the intention of the parties of the contract must prevail, that intention must be gathered from the policy document itself and the proposal form, clauses, endorsements, warranties etc. attached to it and forming a part of the contract.

2. Meaning of wordings

The words used are to be construed in their ordinary and popular sense. **The meaning to be used for words is the meaning that the ordinary man in the street would construe. Thus, "fire" means flame or actual burning.**

On the other hand, **words which have a common business or trade meaning will be construed with that meaning unless the context of the sentence indicates otherwise**. Where words are defined by statute, the meaning of that definition will be used, such as "theft" as in the Indian Penal Code.

Many words used in insurance policies have been the subject of previous legal decisions and those decisions of a higher court will be binding on a lower court decision. Technical terms must always be given their technical meaning, unless there is an indication to the contrary.

H. Renewal Notice

Most of the non-life insurance policies are insured on annual basis.

Although there is no legal obligation on the part of insurers to advise the insured that his policy is due to expire on a particular date, yet as a matter of courtesy and healthy business practice, insurers issue a renewal notice in advance of the date of expiry, inviting renewal of the policy. The notice incorporates all the relevant particulars of the policy such as sum insured, the annual premium, etc. It is also the

practice to include a note advising the insured that he should intimate any material alterations in the risk.

In motor renewal notice, for example, the insured's attention is to be drawn to revise the sum insured (i.e. the Insured's Declared Value of the vehicle) in the light of current requirements.

The insured's attention is also to be invited to the statutory provision that no risk can be assumed unless the premium is paid in advance.

Test Yourself 4

Which of the following statements is correct with regards to renewal notice?

I. As per regulations there is a legal obligation on insurers to send a renewal notice to insured, 30 days before the expiry of the policy
II. As per regulations there is a legal obligation on insurers to send a renewal notice to insured, 15 days before the expiry of the policy
III. As per regulations there is a legal obligation on insurers to send a renewal notice to insured, 7 days before the expiry of the policy
IV. As per regulations there is no legal obligation on insurers to send a renewal notice to insured before the expiry of the policy

Summary

a) The first stage of documentation is essentially the proposal forms through which the insured informs about himself/ herself
b) The duty of disclosure of material information arises prior to the inception of the policy, and continues even after the conclusion of the contract
c) Insurance companies usually add a declaration at the end of the Proposal form to be signed by the insurer
d) Elements of a proposal form include:
   i. Proposer's name in full
   ii. Proposer's address and contact details
   iii. Proposer's profession, occupation or business
   iv. Details and identity of the subject matter of insurance
   v. Sum insured
   vi. Previous and present insurance
   vii. Loss experience
   viii. Declaration by the insured
e) An agent, who acts as the intermediary, has the responsibility to ensure all material information about the risk is provided by the insured to insurer.
f) The process of scrutinising the proposal and deciding about acceptance is known as underwriting.
g) Premium is the consideration or amount paid by the insured to the insurer for insuring the subject matter of insurance, under a contract of insurance.

h) Payment of premium can be made by cash, any recognised banking negotiable instrument, postal money order, credit or debit card, internet, e-transfer, direct credit or any other method approved by IRDAI from time to time.
i) A cover note is issued when preparation of policy is pending or when negotiations for insurance are in progress and it is necessary to provide insurance cover on provisional basis.
j) Cover notes are used predominantly in marine and motor classes of business.
k) A certificate of insurance provides existence of insurance in cases where proof may be required
l) The policy is a formal document which provides an evidence of the contract of insurance.
m) A warranty is a condition expressly stated in the policy which has to be literally complied with for validity of the contract.
n) If certain terms and conditions of the policy need to be modified at the time of issuance or during the policy tenure, it is done by setting out the amendments/ changes through a document called endorsement.
o) The most important rule of construction is that the intention of the parties must prevail and this intention is to be looked for in the policy itself.

Key Terms

a) Policy form
b) Advance payment of premium
c) Cover note
d) Certificate of Insurance
e) Renewal notice
f) Warranty

Answers to Test Yourself

Answer 1 - The correct option is II.
Answer 2 - The correct option is IV.
Answer 3 - The correct option is II.
Answer 4 - The correct option is II.
Answer 5 - The correct option is IV.